

Assets ↴

325 Investments—Other

325 Investments—Other

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

325-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	325-10-05-1	Amended	Accounting Standards Update No. 2016-01	01/05/2016
	325-10-05-2	Amended	Accounting Standards Update No. 2016-01	01/05/2016
	325-10-60-1	Superseded	Accounting Standards Update No. 2016-01	01/05/2016

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 325-10-05-1** The Codification contains several Topics for investments due to the differing accounting treatment for various forms of investment. The Topics include:
- a. Topic 320, Investments—Debt Securities
 - aa. Topic 321, Investments—Equity Securities
 - b. Topic 323, Investments—Equity Method and Joint Ventures
 - c. Topic 325, Investments—Other.
- 325-10-05-2** The Investments—Other Topic includes the following Subtopics:
- a. Overall
 - b. Subparagraph superseded by Accounting Standards Update No. 2016-01.
 - c. Investments in Insurance Contracts
 - d. Beneficial Interests in Securitized Financial Assets.

60 Relationships

i General Note: The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

325-10-60-1 Paragraph superseded by Accounting Standards Update No. 2016-01.

325 Investments—Other

20 Cost Method Investments

00 Status

i General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

325-20-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Publicly Traded Company	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
	325-20-05-1 through 05-3	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
	325-20-15-1	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
	325-20-15-2	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
	325-20-25-1	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
	325-20-25-2	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
	325-20-25-2	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	325-20-30-1 through 30-6	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
	325-20-35-1 through 35-6	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
	325-20-35-1A	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	325-20-50-1	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
	325-20-60-1	Superseded	Accounting Standards Update No. 2016-01	01/05/2016

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 325-20-05-1** Paragraph superseded by Accounting Standards Update No. 2016-01.
- 325-20-05-2** Paragraph superseded by Accounting Standards Update No. 2016-01.

325-20-05-3 Paragraph superseded by Accounting Standards Update No. 2016-01.

325-20-05-4 Paragraph not used.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

325-20-15-1 Paragraph superseded by Accounting Standards Update No. 2016-01.

325-20-15-2 Paragraph superseded by Accounting Standards Update No. 2016-01.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

- i General Note for Fair Value Option:** Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

- 325-20-25-1** Paragraph superseded by Accounting Standards Update No. 2016-01.
- 325-20-25-2** Paragraph superseded by Accounting Standards Update No. 2016-01.
- 325-20-25-3** Paragraph not used.

30 Initial Measurement

- i General Note:** The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

- 325-20-30-1** Paragraph superseded by Accounting Standards Update No. 2016-01.
- 325-20-30-2** Paragraph superseded by Accounting Standards Update No. 2016-01.
- 325-20-30-3** Paragraph superseded by Accounting Standards Update No. 2016-01.
- 325-20-30-4** Paragraph superseded by Accounting Standards Update No. 2016-01.
- 325-20-30-5** Paragraph superseded by Accounting Standards Update No. 2016-01.
- 325-20-30-6** Paragraph superseded by Accounting Standards Update No. 2016-01.
- 325-20-30-7** Paragraph not used.

35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

- 325-20-35-1** Paragraph superseded by Accounting Standards Update No. 2016-01.
- 325-20-35-1A** Paragraph superseded by Accounting Standards Update No. 2016-01.
- 325-20-35-2** Paragraph superseded by Accounting Standards Update No. 2016-01.
- 325-20-35-3** Paragraph superseded by Accounting Standards Update No. 2016-01.
- 325-20-35-4** Paragraph superseded by Accounting Standards Update No. 2016-01.
- 325-20-35-5** Paragraph superseded by Accounting Standards Update No. 2016-01.
- 325-20-35-6** Paragraph superseded by Accounting Standards Update No. 2016-01.

40 Derecognition

- i General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

- 325-20-40-1** Paragraph not used.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

325-20-50-1 Paragraph superseded by Accounting Standards Update No. 2016-01.

60 Relationships

General Note: The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

325-20-60-1 Paragraph superseded by Accounting Standards Update No. 2016-01.

325 Investments—Other

30 Investments in Insurance Contracts

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

325-30-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	325-30-30-1AA	Added	Maintenance Update 2018-02 	02/02/2018
	325-30-30-1B	Superseded	Maintenance Update 2018-02 	02/02/2018
	325-30-50-3	Amended	Maintenance Update 2014-07 	03/17/2014

05 Overview and Background

 **General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 325-30-05-1

This Subtopic presents guidance in the following Subsections:

a. General

b. Life Settlement Contracts.
- 325-30-05-2

The General Subsections provide guidance on accounting for investments in life insurance contracts generally, including the calculation of the amount that could be realized under the life insurance contract.
- 325-30-05-3

A premium paid by a purchaser of life insurance serves a variety of purposes. A portion of the premium pays the insurer for assumption of mortality risk and provides for recovery of the insurer's contract acquisition, initiation, and maintenance costs. Another portion of the premium contributes to the accumulation of contract values. The relative amounts of premium payment credited to various contract attributes change over time as the age of the insured party increases and as earnings are credited to previously established contract values.
- 325-30-05-4

A life insurance contract is significantly different from most investment agreements. The various attributes of the policy could be obtained separately through term insurance and purchase of investment. The combination of benefits and contract values could not, however, typically be acquired absent the insurance contract. Continued protection from mortality risk and realization of scheduled increases in contract accumulation usually requires payment of future premiums.
- 325-30-05-5

The payment of insurance premiums may take a number of different forms. The insurance contract may be purchased through payment of a single premium, as opposed to the typical series of future premiums. Alternatively, the premium payments may be made through loans from the insurance entity that are secured by policy cash surrender values. The pattern of premium payments is a decision that does not alter the underlying nature of the insurance contract.
- 325-30-05-6

Life insurance policies are purchased by entities for a variety of purposes, including funding the cost of providing employee benefits and protecting against the loss of key persons. These types of policies

have generally been known as corporate-owned life insurance or bank-owned life insurance. One of the primary benefits to using an insurance policy as a funding mechanism is the ability for an entity to receive the death benefits tax-free. Investment income is accumulated tax-free through the internal build-up of the cash surrender value. In the event that a policy is surrendered early, the policyholder will be responsible for paying the tax on the previously unrecognized investment income. The tax on the cash surrender value can be significant if the policies have been held for a number of years. Corporate-owned and bank-owned life insurance arrangements are established using several different insurance products, including all of the following:

- a. Universal-life policies
- b. Variable-life policies
- c. Whole-life policies.

325-30-05-7

There are a few basic structures currently used as a framework for most policies in the marketplace. However, these structures can be combined and modified in many different ways and, therefore, can be quite complex. All of the following life insurance policy structures are considered in this guidance:

- a. Individual-life policy. The individual-life policy generally has one contract value component and, in some cases, a surrender charge. The amount that could be realized for this policy upon surrender is the amount reported by the insurance entity to the policyholder as the cash surrender value.
- b. Multiple individual-life policies. Many entities purchase separate individual-life policies for each employee. Similar to the individual-life policy, each policy has only one contract value component and in some cases a surrender charge. If one or more, but not all, policies are surrendered, the policyholder will incur the surrender charges on those policies surrendered. This will result in a permanent loss of asset value to the extent of the surrender charge. However, a rider (or a contractual stipulation) can be obtained for the insurance policy that will waive the surrender charges on each individual policy if all of the policies are surrendered at the same time. The cost of the rider will vary depending on the individual facts and circumstances.
- c. Group-life policy. The group-life policy constitutes the legal contract with the insurance entity that covers individual-life insurance for multiple employees. Each individual in the group policy is issued a certificate. If the group policy is cancelled, each of the individual certificates is terminated. While certificates are issued pursuant to the policy and form part of the policy, the group-life policy contract is the controlling document. Under the group-life policy, individual-life insurance certificates can be surrendered separately and the cash surrender value for the certificate is received by the policyholder for the full surrender amount of that certificate.

325-30-05-8

Additionally, a number of policies include certain provisions that can make them more attractive to the policyholder (for example, a provision allowing for the recovery of certain costs). However, many provisions limit the amount that is realized and may necessitate the meeting of certain criteria to recover any of those amounts. Some of the more typical examples of limitations that exist include all of the following:

- a. The prohibition against having a change of control or a restructuring occurring within the last 24 months
- b. A planned restructuring within the next 12 months
- c. The extent to which the policyholder is in a net operating loss carryforward position.

The amount associated with the termination of the policy may be received over an extended period of time after the surrender of the life insurance policy or certificate.

325-30-05-9

Other attributes include any of the following:

- a. Multiple individual policies with a separate, group-level rider agreement
- b. Multiple individual policies with a contractual stipulation in each individual policy referencing the other policies as a group

- c. A group-life policy that has multiple certificates (individual life insurance for multiple employees).

These contracts may provide the policyholder with an amount that upon surrender is greater if all individual policies are surrendered at the same time rather than if the individual policies are surrendered over a period of time. The amount that can be realized under the insurance contract (that is, converted into cash) is dependent on how the contract is assumed to be hypothetically settled and, if surrendered, whether the insurance policies are surrendered at the individual or group level.

> Exchange of Mutual Membership Interests for Stock in a Demutualization

- 325-30-05-9A** To effect a demutualization, an entity may be required to issue consideration, often in the form of stock, to existing participating policyholders in exchange for their current membership interests. The receipt of such stock has no direct effect on the policyholders' contractual interests of their insurance policies (for example, it does not alter the cash surrender value of their life insurance policies). However, the governance of the mutual insurance entity and, in particular, the participating policyholders' interest in that governance are modified.

Life Settlement Contracts

- 325-30-05-10** The Life Settlement Contracts Subsections provide guidance on accounting for an investment in a life settlement contract.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Entities

325-30-15-1 The guidance in this Subtopic applies to all entities.

> Transactions

325-30-15-2 The guidance in this Subtopic applies to all transactions for entities purchasing life insurance in which the entity is either the owner or beneficiary of the contract, without regard to the funding objective of the purchase (other than life settlement contracts). Such purchases would typically include those intended to meet loan covenants or to fund deferred compensation agreements, buy-sell agreements, or postemployment death benefits.

325-30-15-3 Purchases of life insurance by retirement plans that are subject to Topic 960 are not within the scope of this Subtopic.

325-30-15-4 Internal Revenue Code Section 1035 exchanges do not constitute a cash surrender.

Life Settlement Contracts

> Entities

325-30-15-5 The guidance in the Life Settlement Contracts Subsections applies to all entities.

> Transactions

325-30-15-6 The guidance in the Life Settlement Contracts Subsections applies to both transactions in which a broker facilitates settlement transactions between the policy owner and the investor, and transactions that do not involve a broker.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Cash Surrender Value

The amount of cash that may be realized by the owner of a life insurance contract or annuity contract upon discontinuance and surrender of the contract before its maturity. The cash surrender value may be different from the policy account balance due to outstanding loans (including accrued interest) and

surrender charges. (Note: The use of this glossary term is not consistent among legal contracts. When determining the applicability of this term, the economic substance of the item shall be taken into consideration.)

Certificates

An insurance entity issues to each individual in a group contract a certificate of insurance for each person insured under the group contract. The certificate is merely a summary of the rights, duties, and benefits available under a group policy. If there is any conflict between the certificate and a group policy, the group policy is the controlling document. (Note: The use of this glossary term is not consistent among legal contracts. When determining the applicability of this term, the economic substance of the item shall be taken into consideration.)

Claims Stabilization Reserve

The claims stabilization reserve is established through deductions from the policy account balance through the cost of insurance charge and is sometimes held in a general account (that is, an account that is intermingled with the insurance entity's assets) as opposed to a legally segregated account (sometimes referred to as a separate account). The amounts are accumulated in this account until a death benefit is paid. The death benefit represents a combination of the policy account balance and the claims stabilization reserve based on the contractual terms. The cost of insurance is recalculated periodically based on actual experience of the insured class. Annually, the claims stabilization reserve is reviewed and an experience credit may be issued back to the policyholder if the experience has been favorable. The balance in the claims stabilization reserve will be reviewed annually and to the extent the balance is greater than the forecasted or expected amount, an experience refund would get credited to the entity's policy account balance. An entity's claims stabilization reserve will generally be realized through the collection of death benefits or an experience refund that gets credited to the policyholder's policy account balance or upon surrender of the group policy. A claims stabilization reserve is included in a policy as a mechanism for the policyholder and the insurance entity to share in the mortality risk, which in this case is the risk that the deaths will occur sooner than originally expected. Absent a claims stabilization reserve, the policyholder's net cost of insurance would typically be higher than in a policy without a claims stabilization reserve. The claims stabilization reserve is sometimes referred to as a mortality reserve or a mortality retention reserve. (Note: The use of this glossary term is not consistent among legal contracts. When determining the applicability of this term, the economic substance of the item shall be taken into consideration.)

Deferred Acquisition Costs Tax

Section 848 of the Internal Revenue Code requires insurance entities to capitalize certain policy acquisition costs and defer deducting them in determining the insurer's tax liability. These costs are known as the deferred acquisition costs tax and are based on a percentage of the premium received as specified by the Internal Revenue Code. The initial deferred acquisition costs tax is deducted from a policyholder's policy account balance when the premium is paid. The deferred acquisition costs tax is credited back to the policyholder's policy account balance as the tax deduction is recognized in the insurer's tax return. (Note: The use of this glossary term is not consistent among legal contracts. When determining the applicability of this term, the economic substance of the item shall be taken into consideration.)

Insurance Policy

The legal agreement between the policyholder and the insurance entity that states the terms of the arrangement. The term insurance policy includes all riders, attachments, side agreements, and other related documents that are either directly or indirectly part of the contractual arrangement. (Note: The use of this glossary term is not consistent among legal contracts. When determining the applicability of this term, the economic substance of the item shall be taken into consideration.)

Life Settlement Contract

A life settlement contract is a contract between the owner of a life insurance policy (the policy owner) and a third-party investor (investor), and has all of the following characteristics:

- a. The investor does not have an insurable interest (an interest in the survival of the insured, which is required to support the issuance of an insurance policy).
- b. The investor provides consideration to the policy owner of an amount in excess of the current cash surrender value of the life insurance policy.
- c. The contract pays the face value of the life insurance policy to an investor when the insured dies.

Policy Account Balance

At any point in time, this is the amount held by the insurance entity on behalf of the policyholder. This balance may be held in a general account, a separate account (a legally segregated account), or a combination of both on the insurance entity's balance sheet. This account includes premiums received from the policyholder, plus any credited income, less any relevant charges (acquisition costs, cost of insurance, and so forth). (Note: The use of this glossary term is not consistent among legal contracts. When determining the applicability of this term, the economic substance of the item shall be taken into consideration.)

Probable

The future event or events are likely to occur.

Surrender Charge

A contractual fee imposed by the insurance entity when a policyholder surrenders the insurance policy that typically decreases over the life of the policy. The surrender charge represents a recovery of costs incurred by the insurance entity in originating the policy. It may or may not be explicitly called a surrender charge and can be embedded in other agreements besides the insurance contract. (Note: The use of this glossary term is not consistent among legal contracts. When determining the applicability of this term, the economic substance of the item shall be taken into consideration.)

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

325-30-25-1 An investment in a life insurance contract shall be reported as an asset.

> Exchange of Mutual Membership Interests for Stock in a Demutualization

325-30-25-1A An entity shall recognize stock received from a demutualization and subsequently follow the guidance in Subtopics 320-10 or 323-10 as applicable.

Life Settlement Contracts

325-30-25-2 An investor shall elect to account for its investments in life settlement contracts using either the investment method or the fair value method. The election shall be made on an instrument-by-instrument basis and is irrevocable. The election shall be supported by concurrent documentation or a preexisting documented policy for automatic election.

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

325-30-30-1 A policyholder shall consider any additional amounts included in the contractual terms of the policy in determining the amount that could be realized under the life insurance contract.

325-30-30-1A An entity also shall apply the measurement guidance in paragraphs 325-30-35-5 through 35-7 at initial measurement.

> Exchange of Mutual Membership Interests for Stock in a Demutualization

325-30-30-1AA Stock received from a demutualization shall be measured initially at fair value.

Life Settlement Contracts

325-30-30-1B Paragraph superseded by Maintenance Update 2018-02.

> Investment Method

325-30-30-1C Under the investment method, an investor shall measure its investment in a life settlement contract initially at the transaction price plus all initial direct external costs.

> Fair Value Method

325-30-30-2 Under the fair value method, an investor shall measure its investment in a life settlement contract initially at the transaction price.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

325-30-35-1 An asset representing an investment in a life insurance contract shall be measured subsequently at the amount that could be realized under the insurance contract as of the date of the statement of financial position. It is not appropriate for the purchaser of life insurance to recognize income from death benefits on an actuarially expected basis. The death benefit shall not be realized before the

actual death of the insured, and recognizing death benefits on a projected basis is not an appropriate measure of the asset.

- 325-30-35-2** The change in cash surrender or contract value during the period is an adjustment of premiums paid in determining the expense or income to be recognized under the contract for the period.
- 325-30-35-3** Paragraph 325-30-30-1 states that a policyholder shall consider any additional amounts included in the contractual terms of the policy in determining the amount that could be realized under the life insurance contract. When it is probable that contractual terms would limit the amount that could be realized under the life insurance contract, these contractual limitations shall be considered when determining the realizable amounts. Those amounts that are recoverable by the policyholder at the discretion of the insurance entity shall be excluded from the amount that could be realized under the life insurance contract.
- 325-30-35-4** Amounts that are recoverable by the policyholder in periods beyond one year from the surrender of the policy shall be discounted in accordance with Topic 835.
- 325-30-35-5** A policyholder shall determine the amount that could be realized under the life insurance contract assuming the surrender of an individual-life by individual-life policy (or certificate by certificate in a group policy). Any amount that ultimately would be realized by the policyholder upon the assumed surrender of the final policy (or final certificate in a group policy) shall be included in the amount that could be realized under the insurance contract. See Example 1 (paragraph 325-30-55-1) for an illustration of this guidance.
- 325-30-35-6** A policyholder shall not discount the cash surrender value component of the amount that could be realized under the insurance contract when contractual restrictions on the ability to surrender a policy exist, as long as the holder of the policy continues to participate in the changes in the cash surrender value as it had done before the surrender request. If, however, the contractual restrictions prevent the policyholder from participating in changes to the cash surrender value component, then the amount that could be realized under the insurance contract at a future date shall be discounted in accordance with Topic 835.
- 325-30-35-6A** Paragraph 325-30-30-1A states that an entity also shall apply the measurement guidance in paragraphs 325-30-35-5 through 35-7 at initial measurement.
- 325-30-35-7** If a group of individual-life policies or a group policy only allows for the surrender of all of the individual-life policies or certificates as a group, then the policyholder shall determine the amount that could be realized under the insurance contract on a group basis.

Life Settlement Contracts

> Investment Method

- 325-30-35-8** Continuing costs (policy premiums and direct external costs, if any) to keep the policy in force shall be capitalized.
- 325-30-35-9** The investor shall not recognize a gain until the insured dies (see paragraph 325-30-40-1A).
- 325-30-35-10** An investor shall test an investment in a life settlement contract for impairment if the investor becomes aware of new or updated information that indicates that the expected proceeds from the insurance policy will not be sufficient to recover the carrying amount of the investment plus anticipated undiscounted future premiums and capitalizable direct external costs, if any, when the insured dies. Factors include, but are not limited to, a change in expected mortality and a change in the

creditworthiness of the issuer of the underlying insurance policy. A change in interest rates would not of itself require an investment in a life settlement contract to be tested for impairment.

- 325-30-35-11** An investor shall recognize an impairment loss if the expected undiscounted cash inflows (typically, the insurance proceeds) are less than the carrying amount of the investment plus anticipated undiscounted future premiums and capitalizable direct external costs, if any. If an impairment loss is recognized, the investment shall be written down to fair value. The fair value measurement shall consider current interest rates.

> Fair Value Method

- 325-30-35-12** In subsequent periods, the investor shall remeasure the investment in a life settlement contract at fair value in its entirety at each reporting period and shall recognize changes in fair value in earnings (or other performance indicators for entities that do not report earnings) in the period in which the changes occur.

40 Derecognition

- i General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

Life Settlement Contracts

> Exchange of Mutual Membership Interests for Stock in a Demutualization

- 325-30-40-1** Any gain on an exchange of mutual membership interests for stock in a demutualization shall be recognized in income from continuing operations.

> Investment Method

- 325-30-40-1A** Upon the death of the insured, the investor shall recognize in earnings (or other performance indicators for entities that do not report earnings) the difference between the carrying amount of a life settlement contract and the life insurance proceeds of the underlying life insurance policy.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

Life Settlement Contracts

> Statement of Financial Position

- 325-30-45-1** An investor shall report its investments that are remeasured at fair value on the face of the statement of financial position separately from those accounted for under the investment method. To accomplish that separate reporting, an investor shall do either of the following:
- Display separate line items on the statement of financial position for the fair value method and investment method carrying amounts
 - Present the aggregate of those fair value method and investment method carrying amounts and parenthetically disclose the amount of those investments accounted for under the fair value method included in the aggregate amount.

> Income Statement

- 325-30-45-2** The investor shall classify the amount recognized upon the death of the insured in accordance with paragraph 325-30-35-9 in earnings (or other performance indicators for entities that do not report earnings).
- 325-30-45-3** An investor shall report the investment income from its investments in life settlement contracts that are remeasured at fair value on the face of the income statement separately from the investment income from those accounted for under the investment method. To accomplish that separate reporting, an investor shall do either of the following:
- Display separate line items on the income statement for the investment income from the investments in life settlement contracts that are accounted for under the fair value method and investment method
 - Present the aggregate of the investment income in life settlement contracts and parenthetically disclose the investment income from those investments accounted for under the fair value method that are included in the aggregate amount.
- 325-30-45-4** An investor applying the fair value method shall account for premiums paid and life insurance proceeds received on the same financial reporting line as the changes in fair value are reported.

> Statement of Cash Flows

- 325-30-45-5** An investor shall classify cash receipts and cash payments related to life settlement contracts in accordance with Topic 230, based on the nature and purpose for which the life settlements were acquired.

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

 Related Proposed ASUs

- 325-30-50-1** A policyholder shall disclose contractual restrictions on the ability to surrender a policy.

Life Settlement Contracts

 Related Proposed ASUs

- 325-30-50-2** An investor shall disclose its accounting policy for life settlement contracts, including the classification of cash receipts and cash disbursements, in the statement of cash flows.

- 325-30-50-3** The disclosure requirements in this Subsection do not eliminate disclosure requirements included in other Topics, including other disclosure requirements on the use of fair value.

> Investment Method

- 325-30-50-4** An investor shall disclose all of the following for life settlement contracts accounted for under the investment method based on the remaining life expectancy for each of the first five succeeding years from the date of the statement of financial position and thereafter, as well as in the aggregate:
- The number of life settlement contracts
 - The carrying value of the life settlement contracts
 - The face value (death benefits) of the life insurance policies underlying the contracts.

- 325-30-50-5** An investor shall disclose the life insurance premiums anticipated to be paid for each of the five succeeding fiscal years to keep the life settlement contracts in force as of the date of the most recent statement of financial position presented.

- 325-30-50-6** If the investor becomes aware of new or updated information that causes it to change its expectations on the timing of the realization of proceeds from the investments in life settlement contracts, the investor shall disclose the nature of the information and the related effect on the timing of the realization of proceeds from the life settlement contracts. This includes disclosing significant changes to the amounts disclosed in accordance with paragraph 325-30-50-4. However, an investor shall not be required to actively seek out new or updated information to update the assumptions used in determining the remaining life expectancy of the life settlement contracts.

> Fair Value Method

- 325-30-50-7** An investor shall disclose the method(s) and significant assumptions used to estimate the fair value of investments in life settlement contracts, including any mortality assumptions.
- 325-30-50-8** An investor shall disclose all of the following for life settlement contracts accounted for under the fair value method based on remaining life expectancy for each of the first five succeeding years from the date of the statement of financial position and thereafter, as well as in the aggregate:
- a. The number of life settlement contracts
 - b. The carrying value of the life settlement contracts
 - c. The face value (death benefits) of the life insurance policies underlying the contracts.
- 325-30-50-9** The investor shall disclose the reasons for changes in its expectation of the timing of the realization of the investments in life settlement contracts. This includes disclosing significant changes to the amounts disclosed in accordance with paragraph 325-30-50-8.
- 325-30-50-10** An investor shall disclose both of the following for each reporting period presented in the income statement:
- a. The gains or losses recognized during the period on investments sold during the period
 - b. The unrealized gains or losses recognized during the period on investments that are still held at the date of the statement of financial position.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: Determining the Amount that Can Be Realized Under Life Insurance Contracts

- 325-30-55-1** This Example illustrates the application of the guidance in the General Subsections of this Subtopic to life insurance contracts other than life settlement contracts.

325-30-55-2 On January 1, 19X7, Entity TKO purchases a group variable-life policy on 20 executives of Entity TKO. The insurance entity issued an individual certificate for each executive when the policy was purchased. The entire policy was funded with an initial single premium of \$10,000,000. Entity TKO will be paid the stated death benefit of the certificate when the insured dies. The policy contains a surrender charge of \$50,000 per certificate if a certificate is surrendered. If all of the certificates are surrendered at once (that is, if the group policy is surrendered) the surrender charge is waived. The policy includes a claims stabilization reserve account and a provision that allows for the recovery of the upfront deferred acquisition costs tax over 11 years on a certificate-by-certificate basis even when an individual certificate is surrendered. The remaining balance in the claims stabilization reserve is paid out in cash to Entity TKO upon surrender of the final certificate. At December 31, 20X5, the individual components of Entity TKO's policy have the following values:

- a. Policy account balance = \$9,700,000
- b. Cash surrender value = \$8,700,000
- c. Claims stabilization reserve = \$500,000
- d. Deferred acquisition costs tax (on a discounted basis) = \$250,000.

325-30-55-3 The following is an illustration of the amounts to be included in Entity TKO's financial statements at December 31, 20X5, under this Subtopic.

Cash Surrender Value	\$ 8,700,000
Claims Stabilization Reserve	500,000
Deferred Acquisition Costs tax	250,000
	<u>\$ 9,450,000</u>

325-30-55-4 In evaluating the circumstances to determine the amount that could be realized under the insurance contract, Entity TKO considers the cash surrender value (policy account balance of \$9,700,000 less surrender charge of \$1,000,000), the claims stabilization reserve, and the deferred acquisition costs tax as each of these amounts is realizable based on the contractual terms and is not dependent on surrendering all of the policies at once. The claims stabilization reserve is included in the amount that could be realized because the claims stabilization reserve will be recovered when the final policy is surrendered and is not dependent on the surrender of all of the policies at once. The surrender charge of \$1,000,000 (20 certificates at \$50,000 per certificate) is not assumed to be waived because the waiver of those charges requires the surrender of all of the certificates at once.

325 Investments—Other

40 Beneficial Interests in Securitized Financial Assets

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

325-40-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Beneficial Interests	Amended	Accounting Standards Update No. 2009-16	12/23/2009
Debt Security (1st def.)	Amended	Accounting Standards Update No. 2016-19	12/14/2016
Financial Asset (1st def.)	Superseded	Accounting Standards Update No. 2016-19	12/14/2016
Financial Asset (1st def.)	Added	Accounting Standards Update No. 2016-13	06/16/2016
Financial Asset (2nd def.)	Added	Accounting Standards Update No. 2016-19	12/14/2016
Purchased Financial Assets with Credit Deterioration	Amended	Accounting Standards Update No. 2016-19	12/14/2016
Purchased Financial Assets with Credit Deterioration	Added	Accounting Standards Update No. 2016-13	06/16/2016
325-40-05-1	Amended	Accounting Standards Update No. 2009-16	12/23/2009
325-40-15-2	Amended	Accounting Standards Update No. 2009-16	12/23/2009
325-40-15-3	Amended	Accounting Standards Update No. 2016-13	06/16/2016
325-40-15-4	Amended	Accounting Standards Update No. 2016-13	06/16/2016
325-40-15-5	Amended	Accounting Standards Update No. 2012-04	10/01/2012
325-40-15-6	Amended	Accounting Standards Update No. 2016-01	01/05/2016
325-40-25-2	Amended	Accounting Standards Update No. 2016-13	06/16/2016

325-40-25-2	Amended	Accounting Standards Update No. 2016-01	01/05/2016
325-40-30-1	Amended	Accounting Standards Update No. 2016-13	06/16/2016
325-40-30-1A	Added	Accounting Standards Update No. 2016-13	06/16/2016
325-40-30-2	Amended	Accounting Standards Update No. 2016-13	06/16/2016
325-40-30-4	Amended	Accounting Standards Update No. 2009-16	12/23/2009
325-40-35-1	Amended	Accounting Standards Update No. 2025-12	12/17/2025
325-40-35-2	Superseded	Accounting Standards Update No. 2016-13	06/16/2016
325-40-35-2	Amended	Accounting Standards Update No. 2016-01	01/05/2016
325-40-35-3	Amended	Accounting Standards Update No. 2016-13	06/16/2016
325-40-35-4 through 35-4B	Amended	Accounting Standards Update No. 2025-12	12/17/2025
325-40-35-4	Amended	Accounting Standards Update No. 2016-13	06/16/2016
325-40-35-4A through 35-4C	Added	Accounting Standards Update No. 2016-13	06/16/2016
325-40-35-6	Amended	Accounting Standards Update No. 2016-13	06/16/2016
325-40-35-6A	Added	Accounting Standards Update No. 2016-13	06/16/2016
325-40-35-7	Amended	Accounting Standards Update No. 2016-13	06/16/2016
325-40-35-8	Superseded	Accounting Standards Update No. 2016-13	06/16/2016
325-40-35-9	Amended	Accounting Standards Update No. 2016-13	06/16/2016
325-40-35-10	Superseded	Accounting Standards Update No. 2025-12	12/17/2025
325-40-35-10	Amended	Accounting Standards Update No. 2009-16	12/23/2009
325-40-35-10A	Amended	Accounting Standards Update No. 2016-13	06/16/2016
325-40-35-10B	Superseded	Accounting Standards Update No. 2016-13	06/16/2016

325-40-35-11	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
325-40-35-12	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
325-40-35-13	Superseded	Accounting Standards Update No. 2016-13	06/16/2016
325-40-35-14	Superseded	Accounting Standards Update No. 2016-13	06/16/2016
325-40-35-14	Amended	Accounting Standards Update No. 2009-16	12/23/2009
325-40-35-15	Superseded	Accounting Standards Update No. 2009-16	12/23/2009
325-40-55-1	Superseded	Accounting Standards Update No. 2016-13	06/16/2016
325-40-55-1	Amended	Accounting Standards Update No. 2015-10	06/12/2015
325-40-55-2 through 55-25	Superseded	Accounting Standards Update No. 2009-16	12/23/2009

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 325-40-05-1** This Subtopic addresses accounting for a transferor's interests in securitized transactions accounted for as sales (see Topic 860) and purchased beneficial interests. Collectively, these interests are referred to in this Subtopic as beneficial interests.
- 325-40-05-2** Changes in cash flows expected to be collected might arise from prepayments, from credit concerns, from changes in interest rates, or for other reasons.
- 325-40-05-3** Paragraph not used.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Entities

325-40-15-1 The guidance in this Subtopic applies to all entities.

> Instruments

325-40-15-2 The guidance in this Subtopic applies to a transferor's interests in securitization transactions that are accounted for as sales under Topic 860 and purchased beneficial interests in securitized financial assets.

325-40-15-3 The guidance in this Subtopic applies to beneficial interests that have all of the following characteristics:

- a. Are either debt securities under Subtopic 320-10 or required to be accounted for like debt securities under that Subtopic pursuant to paragraph 860-20-35-2.
- b. Involve securitized financial assets that have contractual cash flows (for example, loans, receivables, debt securities, and guaranteed lease residuals, among other items). Thus, the guidance in this Subtopic does not apply to securitized financial assets that do not involve contractual cash flows (for example, common stock equity securities, among other items). See paragraph 320-10-35-38 for guidance on beneficial interests involving securitized financial assets that do not involve contractual cash flows.
- c. Do not result in consolidation of the entity issuing the beneficial interest by the holder of the beneficial interests.
- d. Subparagraph superseded by Accounting Standards Update No. 2016-13.

e. Are not beneficial interests in securitized financial assets that have both of the following characteristics:

1. Are of high credit quality (for example, guaranteed by the U.S. government, its agencies, or other creditworthy guarantors, and loans or securities sufficiently collateralized to ensure that the possibility of credit loss is remote)
2. Cannot contractually be prepaid or otherwise settled in such a way that the holder would not recover substantially all of its recorded investment.

325-40-15-4 For guidance on recognition of interest income on beneficial interests that have both of the characteristics described in (e) in the preceding paragraph, see Subtopic 320-10. For guidance on determining the allowance for credit losses on beneficial interests that have both of the characteristics described in (e) in the preceding paragraph (other than trading debt securities), see Topic 326 on measurement of credit losses.

· > Securitized Financial Assets in Equity Form

325-40-15-5 A beneficial interest in securitized financial assets that is in equity form may meet the definition of a debt security. For example, some beneficial interests issued in the form of equity represent solely a right to receive a stream of future cash flows to be collected under preset terms and conditions (that is, a creditor relationship), while others, according to the terms of the special-purpose entity, must be redeemed by the issuing entity or must be redeemable at the option of the investor. Consequently, those beneficial interests would be within the scope of both this Subtopic and Topic 320 because they are required to be accounted for as debt securities under that Topic.

325-40-15-6 Beneficial interests issued in the form of equity that do not meet the criteria in the preceding paragraph shall be accounted for under the applicable provisions of Subtopic 323-10, the applicable consolidation guidance (see, for example, Subtopic 810-10), or Subtopic 321-10.

· > Beneficial Interests Classified as Trading

325-40-15-7 For income recognition purposes, beneficial interests classified as trading are included in the scope of this Subtopic because it is practice for certain industries (such as banks and investment companies) to report interest income as a separate item in their income statements, even though the investments are accounted for at fair value.

· > Host Contract Portion of a Hybrid Beneficial Interest

325-40-15-8 Included in the scope of this Subtopic are the host contract portion of a hybrid beneficial interest that requires separate accounting for an embedded derivative under paragraphs 815-15-25-1; 815-15-25-11 through 25-14; and 815-15-25-26 through 25-29 when the host contract otherwise meets the scope of this Subtopic. The issue of when and how a hybrid contract is to be separated into its component parts is an implementation issue of Topic 815 and, therefore, not within the scope of this Subtopic.

325-40-15-9 The guidance in this Subtopic does not apply to hybrid beneficial interests measured at fair value pursuant to paragraphs 815-15-25-4 through 25-6 for which the transferor does not report interest income as a separate item in its income statements.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Beneficial Interests

Rights to receive all or portions of specified cash inflows received by a trust or other entity, including, but not limited to, all of the following:

- a. Senior and subordinated shares of interest, principal, or other cash inflows to be passed-through or paid-through
- b. Premiums due to guarantors
- c. Commercial paper obligations
- d. Residual interests, whether in the form of debt or equity.

Debt Security

Any security representing a creditor relationship with an entity. The term debt security also includes all of the following:

- a. Preferred stock that by its terms either must be redeemed by the issuing entity or is redeemable at the option of the investor
- b. A collateralized mortgage obligation (or other instrument) that is issued in equity form but is required to be accounted for as a nonequity instrument regardless of how that instrument is classified (that is, whether equity or debt) in the issuer's statement of financial position
- c. U.S. Treasury securities
- d. U.S. government agency securities
- e. Municipal securities
- f. Corporate bonds
- g. Convertible debt
- h. Commercial paper
- i. All securitized debt instruments, such as collateralized mortgage obligations and real estate mortgage investment conduits
- j. Interest-only and principal-only strips.

The term debt security excludes all of the following:

- a. Option contracts
- b. Financial futures contracts
- c. Forward contracts
- d. Lease contracts

e. Receivables that do not meet the definition of *security* and, so, are not debt securities, for example:

1. Trade accounts receivable arising from sales on credit by industrial or commercial entities
2. Loans receivable arising from consumer, commercial, and real estate lending activities of financial institutions.

Financial Asset

Cash, evidence of an ownership interest in an entity, or a contract that conveys to one entity a right to do either of the following:

- a. Receive cash or another financial instrument from a second entity
- b. Exchange other financial instruments on potentially favorable terms with the second entity.

Purchased Financial Assets with Credit Deterioration

Acquired individual financial assets (or acquired groups of financial assets with similar risk characteristics) that as of the date of acquisition have experienced a more-than-insignificant deterioration in credit quality since origination, as determined by an acquirer's assessment. See paragraph 326-20-55-5 for more information on the meaning of similar risk characteristics for assets measured on an amortized cost basis.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

- 325-40-25-1** The carrying amount of the beneficial interest used for purposes of measuring interest income shall be adjusted based on the application of the accounting model described in this Subtopic.
- 325-40-25-2** The difference between the carrying amount and the fair value of a beneficial interest classified as a trading debt security shall be recorded through earnings as a gain or a loss.
- 325-40-25-3** Paragraph 325-40-35-1 addresses how the holder shall recognize accretable yield.

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Initial Investment

- 325-40-30-1** If the holder of the beneficial interest is the transferor, the initial investment would be the fair value of the beneficial interest as of the date of transfer, as required by paragraph 860-20-30-1.
- 325-40-30-1A** An entity shall apply the initial measurement guidance for purchased financial assets with credit deterioration in Subtopic 326-20 to a beneficial interest classified as held-to-maturity and in Subtopic 326-30 to a beneficial interest classified as available for sale, if it meets either of the following conditions:
- a. There is a significant difference between contractual cash flows and expected cash flows at the date of recognition.
 - b. The beneficial interests meet the definition of purchased financial assets with credit deterioration.

> Accretable Yield

- 325-40-30-2** For beneficial interests that do not apply the accounting for purchased financial assets with credit deterioration, the holder shall measure accretable yield initially as the excess of *all cash flows expected to be collected* attributable to the beneficial interest estimated at the acquisition-transaction date (the transaction date) over the initial investment. For beneficial interests that apply the accounting for purchased financial assets with credit deterioration, the holder shall measure accretable yield initially as the excess of all contractual cash flows attributable to the beneficial interest at the acquisition-transaction date (the transaction date) over the amortized cost basis (the purchase price plus the initial allowance for credit losses).
- 325-40-30-3** At the transaction date, *all cash flows expected to be collected* means the holder's estimate of the amount and timing of estimated future principal and interest cash flows used in determining the

purchase price or the holder's fair value determination for purposes of determining a gain or loss under Topic 860.

325-40-30-4 See paragraph 325-40-55-1 for implementation guidance.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Accretable Yield

325-40-35-1 The holder shall recognize accretable yield as interest income over the life of the beneficial interest using the effective yield method. The holder of a beneficial interest shall continue to update, over the life of the beneficial interest, the expectation of cash flows to be collected.

 PENDING CONTENT



Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** 105-10-65-10

The holder shall recognize accretable yield as interest income over the life of the beneficial interest using the effective yield method. Under the effective yield method, the current yield is applied to the amount determined as the initial investment (or initial amortized cost basis for beneficial interests that apply the accounting for purchased financial assets with credit deterioration) minus cash received to date minus writeoff of amortized cost basis plus the yield accreted to date. The holder of a beneficial interest shall continue to update, over the life of the beneficial interest, the expectation of cash flows to be collected.

325-40-35-2 Paragraph superseded by Accounting Standards Update No. 2016-13.

325-40-35-3 After the transaction date, cash flows expected to be collected are defined as the holder's estimate of the amount and timing of estimated principal and interest cash flows based on the holder's best estimate of current conditions and reasonable and supportable forecasts.

325-40-35-4 If upon evaluation of a held-to-maturity classified beneficial interest there is a favorable (or an adverse) change in cash flows expected to be collected from the cash flows previously projected, the investor shall first apply the guidance in Subtopic 326-20 on financial instruments measured at amortized cost to account for that favorable (or adverse) change. After application of the guidance in Subtopic 326-20, if the amount of the favorable (or adverse) change in cash flows expected to be collected from the

cash flows previously projected is not reflected (either as an increase or as a decrease) in the allowance for credit losses in accordance with Subtopic 326-20, the investor shall recalculate the amount of accretable yield for the beneficial interest on the date of evaluation as the excess of cash flows expected to be collected over the beneficial interest's reference amount.

- a. Subparagraph superseded by Accounting Standards Update No. 2016-13.
- b. Subparagraph superseded by Accounting Standards Update No. 2016-13.

PENDING CONTENT



Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** 105-10-65-10

If upon evaluation of a held-to-maturity classified beneficial interest there is a favorable (or an adverse) change in cash flows expected to be collected from the cash flows previously projected, the investor shall first apply the guidance in Subtopic 326-20 on financial instruments measured at amortized cost to account for that favorable (or adverse) change. After application of the guidance in Subtopic 326-20, if the amount of the favorable (or adverse) change in cash flows expected to be collected from the cash flows previously projected is not reflected (either as an increase or as a decrease) in the allowance for credit losses in accordance with Subtopic 326-20, the investor shall recalculate the amount of accretable yield for the beneficial interest on the date of evaluation as the excess of cash flows expected to be collected over the beneficial interest's reference amount. The investor shall recalculate the current yield on the date of the evaluation as the rate that equates the cash flows expected to be collected to the beneficial interest's reference amount.

- a. Subparagraph superseded by Accounting Standards Update No. 2016-13.
- b. Subparagraph superseded by Accounting Standards Update No. 2016-13.

325-40-35-4A

If upon evaluation of an available-for-sale classified beneficial interest there is a favorable (or an adverse) change in cash flows expected to be collected from the cash flows previously projected, the investor shall apply the guidance in Subtopic 326-30 on measuring credit losses on available-for-sale debt securities to account for that favorable (or adverse) change. After application of the guidance in Subtopic 326-30, if the amount of the favorable (or adverse) change in cash flows expected to be collected from the cash flows previously projected is not reflected (either as an increase or as a decrease) in the allowance for credit losses in accordance with Subtopic 326-30, the investor shall recalculate the amount of accretable yield for the beneficial interest on the date of evaluation as the excess of cash flows expected to be collected over the beneficial interest's reference amount.

 PENDING CONTENT

Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** 105-10-65-10

If upon evaluation of an available-for-sale classified beneficial interest there is a favorable (or an adverse) change in cash flows expected to be collected from the cash flows previously projected, the investor shall apply the guidance in Subtopic 326-30 on measuring credit losses on available-for-sale debt securities to account for that favorable (or adverse) change. After application of the guidance in Subtopic 326-30, if the amount of the favorable (or adverse) change in cash flows expected to be collected from the cash flows previously projected is not reflected (either as an increase or as a decrease) in the allowance for credit losses in accordance with Subtopic 326-30, the investor shall recalculate the amount of accretable yield for the beneficial interest on the date of evaluation as the excess of cash flows expected to be collected over the beneficial interest's reference amount. The investor shall recalculate the current yield on the date of the evaluation as the rate that equates the cash flows expected to be collected to the beneficial interest's reference amount.

325-40-35-4B

The reference amount in paragraphs 325-40-35-4 through 35-4A is equal to the initial investment (or initial amortized cost basis for beneficial interests that apply the accounting for purchased financial assets with credit deterioration) minus cash received to date minus writeoff of amortized cost basis plus the yield accreted to date.

 PENDING CONTENT

Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** 105-10-65-10

The reference amount in paragraphs 325-40-35-4 through 35-4A is equal to the initial investment (or initial amortized cost basis for beneficial interests that apply the accounting for purchased financial assets with credit deterioration) minus cash received to date minus writeoff of amortized cost basis minus the allowance for credit losses plus the yield accreted to date.

325-40-35-4C

In this Subtopic, a favorable (or an adverse) change in cash flows expected to be collected is considered in the context of both timing and amount of the cash flows expected to be collected. Based on cash flows expected to be collected, interest income may be recognized on a beneficial interest even if the net investment in the beneficial interest is accreted to an amount greater than the amount at which the beneficial interest could be settled if prepaid immediately in its entirety. The adjustment shall be accounted for prospectively as a change in estimate in conformity with Topic 250, with the amount of periodic accretion adjusted over the remaining life of the beneficial interest.

325-40-35-5

Determining whether there has been a favorable (or an adverse) change in cash flows expected to be collected from the cash flows previously projected (taking into consideration both the timing and amount of the cash flows expected to be collected) involves comparing the present value of the remaining cash flows expected to be collected at the initial transaction date (or at the last date previously revised) against the present value of the cash flows expected to be collected at the current financial reporting date.

325-40-35-6

The cash flows, including the assessment of expected credit losses, shall be discounted at a rate equal to the current yield used to accrete the beneficial interest.

> Credit Losses

- 325-40-35-6A** An entity shall account for credit losses on beneficial interests classified as held to maturity and available for sale in accordance with Topic 326.
- 325-40-35-7** An entity shall use the present value of expected future cash flows technique to measure credit losses on beneficial interests. If the present value of the original estimate at the initial transaction date (or the last date previously revised) of cash flows expected to be collected is less than the present value of the current estimate of cash flows expected to be collected, the change is considered favorable. If the present value of the original estimate at the initial transaction date (or the last date previously revised) of cash flows expected to be collected is greater than the present value of the current estimate of cash flows expected to be collected, the change is considered adverse.
- 325-40-35-8** Paragraph superseded by Accounting Standards Update No. 2016-13.
- 325-40-35-9** However, unless the guidance in Topic 326 indicates that a credit loss has occurred, changes in the interest rate of a plain-vanilla, variable-rate beneficial interest generally should not result in the recognition and measurement of a credit loss (a plain-vanilla, variable-rate beneficial interest does not include those variable-rate beneficial interests with interest rate reset formulas that involve either leverage or an inverse floater).
- 325-40-35-10** See paragraph 325-40-55-1 for implementation guidance.
-  **PENDING CONTENT** ?

Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** 105-10-65-10

Paragraph superseded by Accounting Standards Update No. 2025-12.
- 325-40-35-10A** It is inappropriate to automatically conclude that no credit loss in a security exists because all of the scheduled payments to date have been received. However, it also is inappropriate to automatically conclude that every decline in fair value represents a credit loss. Further analysis and judgment are required to assess whether a decline in fair value is an indicator that the holder will not collect all of the contractual cash flows or cash flows expected to be collected from the security. The more severe the decline in fair value, the more persuasive the evidence that is needed to overcome the premise that the holder will not collect all of the contractual cash flows or cash flows expected to be collected from the issuer of the security.
- 325-40-35-10B** Paragraph superseded by Accounting Standards Update No. 2016-13.
- 325-40-35-10C** Paragraph not used.
- 325-40-35-10D** Paragraph not used.
- 325-40-35-11** Paragraph superseded by Accounting Standards Update No. 2009-16.
- 325-40-35-12** Paragraph superseded by Accounting Standards Update No. 2009-16.
- 325-40-35-13** Paragraph superseded by Accounting Standards Update No. 2016-13.
- 325-40-35-14** Paragraph superseded by Accounting Standards Update No. 2016-13.
- 325-40-35-15** Paragraph superseded by Accounting Standards Update No. 2009-16.

> Nonaccrual Status—Cash Flows Not Reliably Estimable

325-40-35-16 This Subtopic does not address when a holder of a beneficial interest would place that interest on nonaccrual status or when a holder cannot reliably estimate cash flows. However, for beneficial interests placed on nonaccrual status or when a holder cannot reliably estimate cash flows, the cost recovery method shall be used.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

325-40-45-1 The amount of accretable yield shall not be displayed in the balance sheet.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

325-40-55-1 Paragraph superseded by Accounting Standards Update No. 2016-13.

325-40-55-2 Paragraphs 325-40-55-2 through 55-25 superseded by Accounting Standards Update No. 2009-16.

65 Transition and Open Effective Date Information

i General Note: The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

325-40-65-1 Paragraph superseded on 03/23/2010 after the end of the transition period stated in FSP EITF 99-20-1, *Amendments to the Impairment Guidance of EITF Issue No. 99-20*.